

European Equity Derivatives Strategy

Option plays for a weaker US dollar

- We believe the US dollar is likely to weaken further during 2H25. Based on currency sensitivities, we propose two ways to express this view in equity derivatives. First, via **Dec-25 Call vs Call** on two baskets with corresponding EURUSD sensitivities. The baskets are vol and liquidity optimized and correspond to our house view to see defensives outperform cyclicals. Alternatively, we like to play this theme via **Dec-25 Up&Out Calls** either on the basket or on individual names.
- In line with this theme, we propose to take downside exposure on **European Semiconductors via costless Sep-25 Put-Spread Collars on SX8P**. With revenues predominantly in USD and a EUR costbase, the sector is negatively exposed to a weakening USD. We also see headwinds from ongoing inventory build, valuations and tariff uncertainty.
- We provide an analysis on the volatility impact from Rheinmetall's replacement of Kering in the Eurostoxx 50, effective 20 June by means of the fast-entry rule.

Global Quantitative and Derivatives Strategy

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Option plays for a weaker dollar

One of JP Morgan's conviction calls for 2H25 is a weaker dollar. We **forecast EURUSD to reach 1.16 by Q3 and 1.20 by the end of the year, or ~6% higher from spot today.**

Following the recent ruling by the US Court of International Trade (USCIT) that the imposition of tariffs by means of presidential executive orders exceeds the authority of the president, JP Morgan FX Strategists write [here](#) that this ruling constitutes 'a pothole in US trade policy, rather than a complete derailing of it'. As such, JP Morgan forecasts, 'the dollar still deserves to lag', albeit with less intensity. This assumes that the ruling holds at a federal level and ultimately at the Supreme Court, and that Trump will yield.

We think this is unlikely. Instead, in such a scenario, we would expect **President Trump to double-down on his tariff policy and expect new initiatives. There are a number of alternative routes the administration could employ to impose tariffs** (Section 122 for a tariff level of 15% for up to 150 days, Section 301 on a limited number of countries, or Section 338 for a tariff rate of up to 50% providing a claim can be raised that the US is disadvantaged relative to a third country). The doubling of steel tariffs under section 232 we heard about last weekend is a case in point. This view also ties in with JP Morgan economists that are [Still looking for US tariff rates to move higher](#). Section 899 in the 'One Big Beautiful Bill Act', which increases taxes on persons that are tax residents in countries with "unfair foreign taxes" could also become relevant here. The temptation to penalize foreign companies that in the eyes of President Trump unfairly take advantage of the US may be hard to resist if the bill is passed in the Senate, even if this would run counter to attracting fixed asset investments. If Section 899 is indeed employed, it would further undermine trust in the institutional framework of the US as a destination for investments and, of course, visibility. An adverse impact on the currency from investor flight and increased hedging activity appears to be a plausible outcome.

While in the short term we may see a consolidation or even some strengthening for technical reasons, we think the weakening in USD and the rise in EURUSD will resume into year end, especially once additional cuts are priced in when hard data catches up with weak soft data as we expect it will. As our FX strategists write, **only a more emphatic return to US exceptionalism would derail our USD-bearish view.**

It is worth mentioning that a **weaker dollar appears to be a key strategic goal of the Trump administration.** The overall economic thesis was laid out by Stephen Miran before ascending to chair Trump's Council of Economic Advisors, in what has been dubbed the [Mar-a-Lago Accord](#).

We propose trades in equity derivatives to express this view of a weaker dollar:

Figure 1 provides a screen of stocks within our optionable universe that display strong sensitivity to the dollar, here measured vs EURUSD. The table displays 10 stocks with strong positive and negative sensitivity to EURUSD. We have optimised this screen for liquidity and volatility in view of trading the theme of rising EURUSD via Call vs Call on the two relative baskets. The resulting mid vol spread is ~11.5%. Indicatively and conservatively priced, one can trade the call switch at zero cost. For the long basket, we have only considered names that are OW or N rated by JP Morgan analysts.

Buy Dec-25 105% Call on Basket {EQWT Pos EURUSD} vs Sell Dec-25 105% Call {EQWT Neg EURUSD} at zero cost, indicatively.

Figure 1: Baskets of stocks with positive/negative EURUSD sensitivity, optimized for liquidity and vol

Pos EURUSD			FX Beta	EQ Beta	6m ATMF	Neg EURUSD			FX Beta	EQ Beta	6m ATMF
E.ON	Utilities		0.78	0.44	20.3%	STANDARD CHRTD	Banks		-0.58	1.25	27.4%
ORANGE	Teleco		0.76	0.21	16.6%	ASML HOLDING	Technology		-0.53	1.61	36.0%
ENGIE	Utilities		0.59	0.50	17.3%	UBS GROUP	Fin Services		-0.53	1.40	28.3%
DT BOERSE	Fin Services		0.59	0.49	21.8%	JULIUS BAER	Fin Services		-0.50	1.36	27.3%
BEIERSDORF	Pers Care		0.56	0.40	21.3%	ROLLS-ROYCE	Industrial Gds		-0.49	1.44	35.3%
HENKEL	Consumer Prod		0.54	0.41	20.1%	ASM	Technology		-0.48	1.58	41.0%
BOUYGUES	Const+Mat		0.54	0.74	20.2%	BP	Energy		-0.43	1.03	26.4%
ALLIANZ	Insurance		0.50	0.69	18.8%	AIR FRANCE	Travel + Leisure		-0.39	1.45	37.4%
HEINEKEN	Food & Bev		0.48	0.53	21.1%	AEGON	Insurance		-0.37	1.27	26.2%
E.ON SE	Utilities		0.47	0.57	17.6%	ABB	Industrial Gds		-0.31	1.16	24.6%
Average			0.58	0.50	19.5%				-0.46	1.36	31.0%

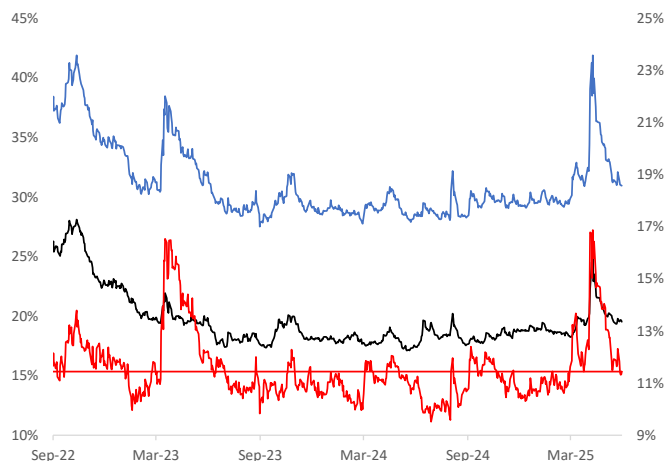
Source: J.P. Morgan Quantitative and Derivatives Strategy.

The relative performance of the proposed Positive and Negative EURUSD baskets tracks EURUSD well. Between **January and April**, while EURUSD traded from 1.03 to 1.13, the **Positive EURUSD basket outperformed the Negative EURUSD basket by ~30%**, while the basket lagged during the recovery (YTD it is outperforming by ~12%). We would expect the outperformance to continue into year end if our call for EURUSD to reach 1.20 is met.

The trade is also **long low beta vs short high beta** via the respective baskets and ties in with JPM Equity Strategists' expectations that **'Defensives will be interesting gain during the summer'**.

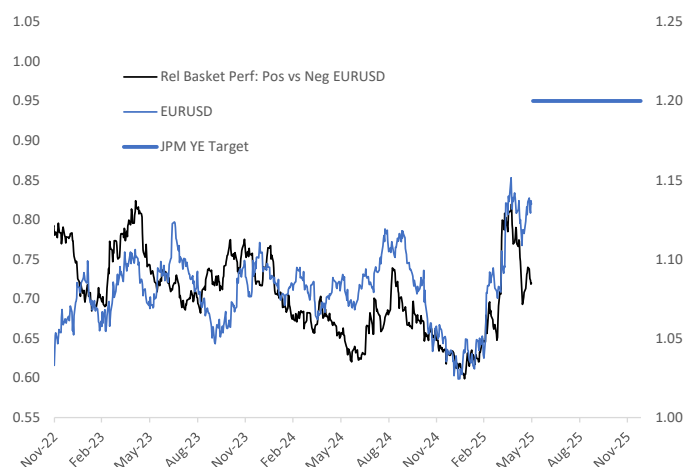
Figure 2: The pro EURUSD Basket vol trades ~10 vol points below the neg EURUSD Basket vol, making Call Switches attractive

6m ATMF Vol Pro EURUSD Basket (black), Neg EURUSD Basket (Blue), spread (Red)



Source: J.P. Morgan Quantitative and Derivatives Strategy.

Figure 3: As EURUSD traded from 1.03 to 1.13 between January and April, pro vs neg EURUSD Basket outperformed by +30% (+12% YTD). We expect EURUSD to rise substantially into YE and further outperformance.



Source: J.P. Morgan Quantitative and Derivatives Strategy.

Alternatively, to gain outright long exposure to the Positive EURUSD basket we recommend to consider to

Buy Dec-25 {EQWT Pos EURUSD} 105% Call Up & Out at 115% at 1.2% (continuous observation).

We would also recommend to consider taking upside positions via Dec-25 Up and Out Calls on the individual names in the Positive EURUSD basket, especially names that are **Overweight rated** JP Morgan analysts. The table below shows indicative pricing compared to prices to the equivalent vanilla call spreads. The light exotic options deliver price savings of ~2/3rd.

The choice of product is informed by our **moderately cautious view on risk assets into year end**, making knock-outs less likely.

Figure 4: Indicative pricing of Up & Out Calls for EURUSD sensitive stocks

Name	Sector	JPM Rating	6m ATMF	Dec-25 105-115% CS	Dec-25 105% U&O 115%	Discount	Prem to theoretical max payout
ALLIANZ	Insurance	neutral	18.8%	3.21%	1.20%	-63%	12.5
BOUYGUES	Const+Mat	neutral	20.2%	3.23%	0.88%	-73%	17.1
HENKEL	Consumer Prod	overweight	20.1%	3.22%	1.02%	-68%	14.7
BEIERSDORF	Pers Care	overweight	21.3%	3.41%	0.86%	-75%	17.4
DT BOERSE	Fin Services	neutral	21.8%	3.36%	0.87%	-74%	17.3
ENGIE	Utilities	overweight	17.3%	3.10%	1.21%	-61%	12.4
IBERDROLA	Utilities	neutral	17.6%	3.39%	1.16%	-66%	13.0
HEINEKEN	Food & Bev	overweight	21.1%	3.07%	0.85%	-72%	17.6
ORANGE	Teleco	overweight	16.6%	1.60%	0.73%	-54%	20.5
E.ON	Utilities	overweight	20.3%	3.34%	1.03%	-69%	14.5

Source: J.P. Morgan Quantitative and Derivatives Strategy. *pricing is for indicative purposes only based on continuously observed barriers

In line with the views laid out above, we recommend to initiate a short on the European Tech sector, the SX8P. The sector displays the highest negative beta to EURUSD which can fundamentally be explained through the **sector's revenue exposure to USD, the sales currency of semiconductors, while the cost base is primarily EUR based.**

Similarly, our sector analysts take a cautious view and state **'it is a very difficult sector to invest'**. Even if share prices are down from the peak, valuations do not yet adequately reflect risks in the sector. The sector has been grappling with over-stocking which has kept earnings artificially propped up, while historically the 'right time' to invest in the sector is when earnings estimates are slashed, implying high P/E ratios (see [here](#)). June numbers are likely to show **increasing inventory levels** in part due to front loading and tariff uncertainty, which indicates that there is not yet any imminent up-cycle to be expected. Our analysts estimate that semi inventory continues to pose a central headwind to the sector as levels are running close to **40% higher inventories vs pre-COVID area**. Semiconductor inventory days and absolute levels of inventory continue to rise in all major semiconductor end markets (see [here](#)). To turn more constructive, we would need these levels to fall.

JP Morgan Equity Strategy is also keeping **Semiconductors on UW** reflecting these concerns about inventory, valuation and cyclicalities of the sector. Indicatively,

Buy SX8P €800-750 Put Spread vs €900 Call at zero (ref €827, strike ~97/91% vs~109% , mid vol ~24.2%/26.5%/20.8%, d 41%)

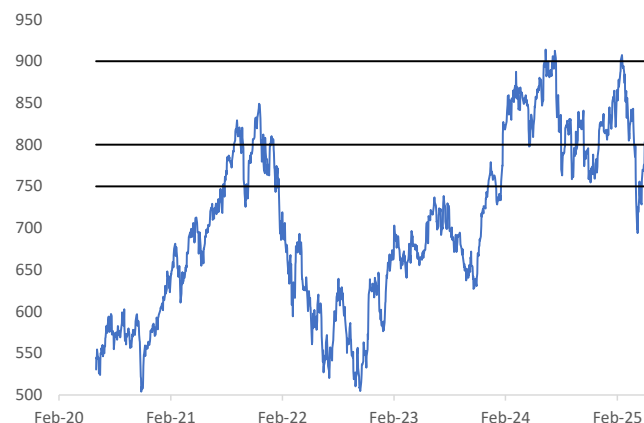
Figure 5: European Tech sector is negatively affected by a weakening USD. Rising inventories, tariff uncertainty and valuations are additional headwinds. We are UW.

	Beta EURUSD	t-stat	Beta SXXP
Utilities	0.42	5.8	0.68
Food&Bevrg	0.33	6.0	0.59
Telcomm	0.32	5.3	0.62
RealEstate	0.22	2.0	1.10
BasicResou	0.18	1.8	1.24
Chemicals	0.14	2.9	0.99
Insurance	0.13	2.6	0.92
Retail	0.11	1.5	1.16
Auto&Parts	0.11	1.3	1.17
Per&HouGds	0.11	1.9	0.95
Banks	0.04	0.4	1.25
Constr&Mtr	0.03	0.6	1.19
Trav&Leisr	0.02	0.3	1.14
Media	-0.05	-0.9	0.87
Oil&Gas	-0.08	-0.8	0.95
HealthCare	-0.11	-1.9	0.78
InduGd&Ser	-0.13	-3.1	1.23
FinanSerc	-0.16	-3.3	1.24
Technology	-0.24	-2.9	1.37

Source: J.P. Morgan Quantitative and Derivatives Strategy.

Figure 6: Given aforementioned headwinds, we fund downside exposure via short calls

SX8P, price and proposed strikes



Source: J.P. Morgan Quantitative and Derivatives Strategy.

Euro STOXX 50 fast-entry index change: impact on volatility

[STOXX has announced the addition of Rheinmetall](#) to replace Kering in the Euro STOXX 50 index, effective at the close of June 20, 2025. This change was widely anticipated and was already incorporated into our [baseline bottom-up index dividend estimates](#). We have assessed the impact of this index change on the volatility of the Euro STOXX 50 index.

Our volatility contribution analysis, based on the Euro STOXX 50's constituents and Rheinmetall's volatilities and correlations over the past twelve months, indicates an increase in realized volatility by 0.4 percentage points, from 18.3% to 18.7%. This impact on index volatility is primarily driven by Rheinmetall's higher volatility, coupled with the higher weight that the new constituent will hold (2.16% for Rheinmetall compared to 0.33% for Kering).

The table below presents the volatility attribution by sector before and after the index change. Further index adjustments are expected during the September annual review, but their impact on index volatility is projected to be more moderate under the base case scenario.

Table 1: Euro STOXX 50 volatility attribution by sector for current composition and post June review

Historical 12M volatility contributions by ICB super-sector (%) and super-sector index weight (%)

Super Sector	Post-June expiry		Current composition	
	Contribution to index vol (vol points)	Sector % weight in index	Contribution to index vol (vol points)	Sector % weight in index
Banks	4.19%	13.76%	4.03%	14.02%
Technology	3.55%	16.57%	3.17%	16.88%
Industrial Goods and Services	3.41%	17.13%	3.15%	15.25%
Consumer Products and Services	1.28%	8.74%	1.27%	9.23%
Automobiles and Parts	1.15%	3.80%	1.48%	3.87%
Construction and Materials	1.06%	3.24%	1.05%	3.31%
Insurance	0.99%	7.69%	1.13%	7.84%
Chemicals	0.76%	3.76%	0.77%	3.84%
Health Care	0.71%	5.33%	0.71%	5.43%
Telecommunications	0.37%	3.85%	0.28%	3.92%
Food, Beverage and Tobacco	0.35%	3.43%	0.40%	3.49%
Energy	0.32%	3.86%	0.32%	3.94%
Retail	0.22%	1.39%	0.22%	1.42%
Utilities	0.13%	4.15%	0.14%	4.23%
Financial Services	0.13%	1.41%	0.12%	1.44%
Media	0.07%	0.97%	0.06%	0.99%
Personal Care, Drug and Grocery Stores	0.04%	0.90%	0.04%	0.92%
Total index volatility	18.74%		18.33%	

Source: J.P. Morgan Quantitative and Derivatives Strategy.

Volatility Overview

Corridor Variance and Skew Locks

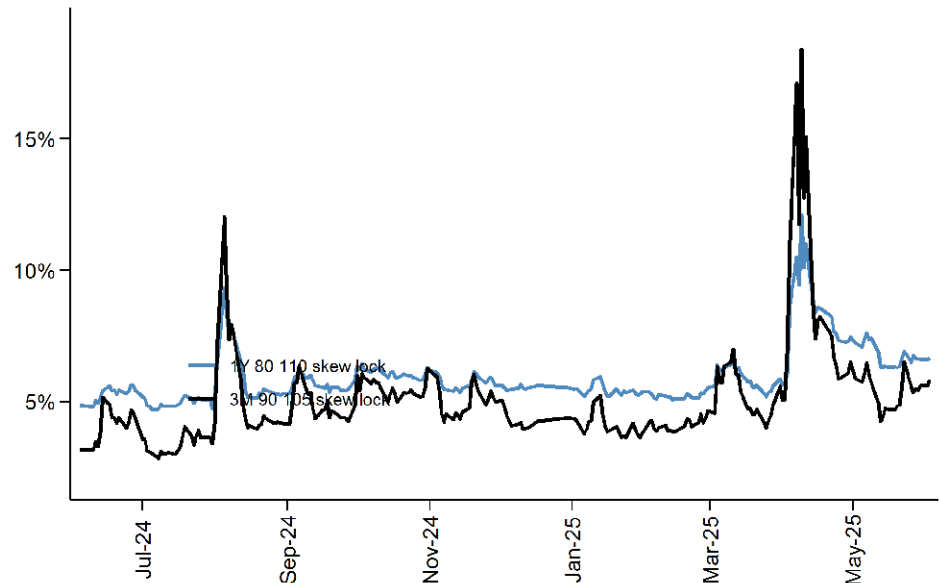
Figure 7: Euro STOXX 50 var vs. upvar and skew lock levels, 1Y percentile and weekly change

Name	Current	1Y %ile	1W chg
3M 90 upvar	16.7%	81%	0.50%
3M var	21.1%	80%	0.78%
3M var vs 90 upvar	4.5%	79%	0.28%
3M 90 105 skew lock	5.8%	82%	0.50%
1Y 80 upvar	17.3%	87%	0.21%
1Y var	22.4%	86%	0.06%
1Y var vs 80 upvar	5.0%	84%	-0.16%
1Y 80 110 skew lock	6.7%	87%	-0.09%

Source: J.P. Morgan Equity Derivatives Strategy.

Figure 8: The Euro STOXX 50 skew lock trades over last year

Euro STOXX 50 downvar vs. upvar indicative levels (vol points)

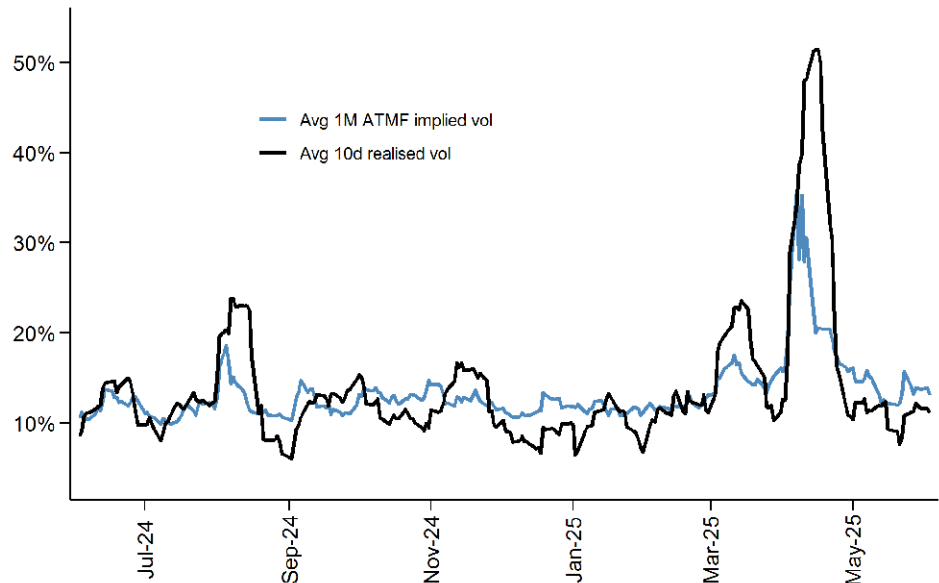


Source: J.P. Morgan Equity Derivatives Strategy.

European Volatility

Figure 9: European index short-dated implied and realized volatilities

Avg. 1M ATMf and 10d realized volatility (SX5E, DAX, SMI and UKX)



Source: J.P. Morgan Equity Derivatives Strategy.

European Skew and Term Structure

Figure 10: 3M 25-delta skews, 5Y percentiles and 1Y range chart

Index	Current	5Y %ile	5Y Avg	5Y Max	5Y Min	1W chg	
SX5E	5.1%	32%	6.4%	15.4%	2.5%	-0.2%	
SPX	7.0%	49%	7.0%	15.0%	2.4%	0.1%	
UKX	3.5%	32%	4.8%	11.9%	1.4%	0.1%	
DAX	5.3%	35%	6.4%	15.4%	2.5%	-0.2%	
SMI	3.9%	41%	4.4%	10.6%	1.4%	-0.3%	
IBEX	4.8%	42%	5.5%	13.1%	2.2%	0.0%	
FTSEMIB	4.9%	28%	6.3%	15.1%	2.8%	-0.1%	
SX7E	6.0%	72%	5.3%	12.5%	2.4%	0.6%	
NKY	4.8%	53%	4.7%	11.2%	0.8%	-0.4%	
HSI	0.6%	24%	2.4%	11.9%	-4.0%	0.4%	
EEM.US	3.0%	24%	4.7%	10.7%	1.1%	0.1%	

Source: J.P. Morgan Equity Derivatives Strategy.

Figure 11: 1Y less 3M ATM volatility term structure, 5Y percentiles and 1Y range chart

Index	Current	5Y %ile	5Y Avg	5Y Max	5Y Min	1W chg	
SX5E	0.9%	45%	0.6%	3.2%	-8.5%	0.2%	
SPX	1.0%	36%	1.4%	4.4%	-8.8%	-0.0%	
UKX	1.5%	51%	1.1%	3.4%	-6.2%	-0.0%	
DAX	0.2%	33%	0.6%	3.7%	-7.9%	0.1%	
SMI	0.7%	38%	0.8%	2.9%	-7.4%	-0.0%	
IBEX	0.3%	32%	0.6%	2.8%	-7.3%	0.0%	
FTSEMIB	0.7%	43%	0.5%	3.2%	-8.8%	-0.1%	
SX7E	1.0%	57%	-0.2%	4.6%	-11.8%	0.1%	
NKY	0.6%	51%	0.4%	2.8%	-10.4%	-0.3%	
HSI	0.7%	80%	-0.4%	2.5%	-9.3%	-0.2%	
EEM.US	1.7%	58%	1.3%	4.4%	-5.5%	0.0%	

Source: J.P. Morgan Equity Derivatives Strategy.

Cross-Asset Volatilities

Table 2: Cross-Asset Volatility Matrix

		Spot	1W Chg (%)	1M Chg (%)	3M ATM IV	1W Chg (vol pt)	1Y Low	1Y High	1Y Percentile	Current Relative to 1Y Low/High and 20th-80th Percentile Range	Z-Score	Implied-Realized	1W Chg (vol pt)
Equity	Euro Stoxx 50	5347.07	-1.26%	1.17%	16.4%	0.10	12.2%	28.9%	80%		0.42	-8.0%	1.22
	FTSE	8787.70	0.11%	2.23%	11.8%	-0.65	9.9%	24.1%	74%		0.10	-8.9%	-0.48
	DAX	23958.08	-1.11%	3.77%	17.9%	0.53	12.0%	28.9%	81%		0.78	-8.4%	3.11
	BMI	12215.45	-0.83%	-0.32%	13.8%	0.24	10.2%	25.5%	66%		0.58	-10.9%	0.11
	S&P 500	5805.94	2.29%	4.38%	16.7%	-0.28	11.4%	32.6%	75%		0.27	-15.1%	-1.88
	Nikkei 225	37448.81	-0.74%	1.67%	19.8%	0.42	15.5%	37.2%	39%		-0.37	-18.6%	0.83
	Hang Seng	23512.49	0.56%	4.48%	21.8%	0.30	18.4%	36.1%	37%		-0.20	0.7%	2.96
	H-Shares	8516.86	0.59%	3.51%	23.7%	-0.02	20.2%	38.6%	31%		-0.36	0.6%	2.95
	KOSPI 200	369.89	2.15%	6.17%	18.8%	1.63	15.2%	31.0%	57%		-0.01	-8.9%	2.84
	Copper	478.35	1.56%	3.37%	19.8%	0.00	18.2%	27.1%	36%		-0.50	-17.6%	0.00
Commodity	Gold	3361.50	1.55%	3.34%	18.1%	-1.05	12.8%	22.4%	87%		1.37	-7.4%	-1.28
	Crude Oil (WTI)	63.36	4.98%	9.70%	33.8%	-1.88	21.8%	50.3%	61%		0.36	-3.1%	-0.28
FX	EUR/USD	1.14	0.48%	0.84%	8.2%	14.20	5.2%	10.6%	62%		0.87	-0.9%	1.15
	GBP/USD	1.36	-0.07%	1.92%	7.9%	18.45	8.0%	10.6%	70%		0.37	-0.2%	0.58
CDS	iTraxx Europe 5y	57.57	-0.45%	-11.88%	0.5%	-0.01	0.4%	0.8%	71%		0.01	0.0%	0.00
	CDX North America 10 5y	55.99	-0.74%	-11.88%	0.4%	0.01	0.3%	0.7%	37%		0.50	0.0%	0.00
		Rate(%)	1W Chg (spread)	1M Chg (spread)	3M ATM IV (bp vol)	1W Chg (vol pt)	1Y Low	1Y High	1Y Percentile	Current Relative to 1Y Low/High and 20th-80th Percentile Range	Z-Score		
Rates	USD 10y	3.90	-0.25	1.79	89.0	-0.50	88.9	120.8	31%		-0.53		
	EUR 10y	2.50	-0.41	0.65	66.0	-1.27	63.7	90.2	4%		-1.53		
		Spread	1W Chg (spread)	1M Chg (spread)	Spread (bp) 1M Ago	Spread (bp) 1M Ago	1Y Low	1Y High	1Y Percentile	Current Relative to 1Y Low/High and 20th-80th Percentile Range	Z-Score		
CDS (spread)	iTraxx Europe 5y	57.57	-0.26	-7.17	57.8	64.7	50.9	84.5	65%		0.02		
	iTraxx x-Over 5y	289.45	-1.38	-33.63	300.8	333.1	275.7	425.9	42%		-0.34		
	iTraxx Senior Financials 5Y	61.57	-0.68	-7.72	62.1	69.3	55.6	90.8	42%		-0.38		
	iTraxx Sub Financials 5Y	108.72	-1.23	-14.68	108.0	121.4	96.7	163.2	28%		-0.88		
	CDX North America 10 5y	55.99	-0.42	-7.56	56.4	63.5	46.7	82.7	61%		0.40		
	CDX North America HY 5y	340.91	-3.97	-38.76	353.9	388.7	288.1	479.1	61%		0.48		

Source: J.P. Morgan Quantitative and Derivatives Strategy.

Table 3: Cross-asset correlations

6M weekly returns correlation

		Equity							Commodity			FX		Rates		CDS					
		Euro Stoxx 50	FTSE	DAX	S&P 500	Nikkei 225	Hang Seng	KOSPI 200	Copper	Gold	Crude Oil (WTI)	EUR	GBP	USD 10y	EUR 10y	iTraxx Europe	iTraxx x-Over	iTraxx Sen Fin	iTraxx Sub Fin	CDX NA IG	CDX NA HY
Equity	Euro Stoxx 50		96%	97%	72%	80%	79%	87%	72%	32%	49%	-8%	35%	7%	-2%	-92%	-93%	-91%	-92%	-86%	-86%
	FTSE	96%		89%	64%	78%	76%	59%	75%	47%	52%	-5%	38%	-7%	-19%	-81%	-85%	-79%	-80%	-79%	-76%
	DAX	97%	89%		67%	79%	80%	62%	70%	37%	38%	4%	44%	2%	0%	-47%	-48%	-47%	-49%	-41%	-39%
	S&P 500	72%	64%	67%		71%	55%	59%	44%	12%	39%	-16%	16%	24%	-6%	-73%	-76%	-71%	-70%	-76%	-61%
	Nikkei 225	80%	78%	79%	71%		64%	74%	58%	27%	37%	-5%	36%	23%	4%	-81%	-81%	-79%	-77%	-73%	-60%
	Hang Seng	79%	76%	80%	55%	64%		55%	64%	39%	36%	18%	53%	-3%	7%	-74%	-73%	-77%	-78%	-69%	-63%
	KOSPI 200	87%	59%	62%	59%	74%	55%		58%	24%	44%	-6%	24%	21%	13%	-64%	-66%	-63%	-63%	-66%	-71%
Commodity	Copper	72%	75%	70%	44%	58%	64%	58%		59%	62%	11%	38%	16%	9%	-60%	-61%	-58%	-62%	-51%	-52%
	Gold	32%	47%	37%	12%	27%	39%	24%	59%		25%	40%	50%	5%	-20%	-21%	-22%	-20%	-25%	-17%	-13%
	Crude Oil (WTI)	49%	52%	38%	39%	37%	36%	44%	62%	25%		33%	-6%	29%	15%	-50%	-49%	-45%	-48%	-50%	-47%
FX	EUR	-8%	-5%	4%	-16%	-5%	18%	-6%	11%	40%	-33%		78%	-7%	19%	10%	10%	7%	4%	17%	19%
	GBP	35%	38%	44%	16%	36%	53%	24%	38%	50%	-6%	78%		22%	0%	-33%	-34%	-35%	-40%	-24%	-22%
Rates	USD 10y	7%	-7%	2%	24%	23%	-3%	21%	16%	5%	29%	-7%	-22%		51%	-11%	-8%	-9%	-9%	-13%	-16%
	EUR 10y	-2%	-19%	0%	-6%	4%	7%	13%	9%	-20%	15%	19%	0%	51%		0%	4%	-1%	1%	4%	7%
CDS (5y)	iTraxx Europe	-92%	-81%	-87%	-73%	-81%	-74%	-64%	-60%	-21%	-50%	10%	-33%	-11%	0%		99%	99%	99%	95%	93%
	iTraxx x-Over	-93%	-85%	-88%	-76%	-81%	-73%	-66%	-61%	-22%	-49%	10%	-34%	-8%	4%	99%		97%	97%	94%	95%
	iTraxx Sen Fin	-91%	-79%	-87%	-71%	-79%	-77%	-63%	-59%	-20%	-49%	7%	-36%	-9%	-1%	99%	97%		99%	94%	91%
	iTraxx Sub Fin	-92%	-80%	-89%	-70%	-77%	-79%	-63%	-62%	-25%	-48%	4%	-40%	-9%	1%	99%	97%	99%		95%	91%
	CDX NA IG	-86%	-78%	-81%	-76%	-75%	-69%	-66%	-61%	-17%	-50%	17%	-24%	-13%	4%	95%	94%	94%	95%		95%
	CDX NA HY	-86%	-78%	-79%	-81%	-80%	-63%	-71%	-62%	-13%	-47%	19%	-22%	-16%	7%	93%	95%	91%	91%	95%	

Source: J.P. Morgan Equity Derivatives Strategy.

Risks of Common Option Strategies

Risks to Strategies: Not all option strategies are suitable for investors; certain strategies may expose investors to significant potential losses. We have summarized the risks of selected derivative strategies. For additional risk information, please call your sales representative for a copy of "Characteristics and Risks of Standardized Options." We advise investors to consult their tax advisors and legal counsel about the tax implications of these strategies. Please also refer to option risk disclosure documents.

Put Sale: Investors who sell put options will own the underlying asset if the asset's price falls below the strike price of the put option. Investors, therefore, will be exposed to any decline in the underlying asset's price below the strike potentially to zero, and they will not participate in any price appreciation in the underlying asset if the option expires unexercised.

Call Sale: Investors who sell uncovered call options have exposure on the upside that is theoretically unlimited.

Call Overwrite or Buywrite: Investors who sell call options against a long position in the underlying asset give up any appreciation in the underlying asset's price above the strike price of the call option, and they remain exposed to the downside of the underlying asset in the return for the receipt of the option premium.

Booster : In a sell-off, the maximum realized downside potential of a double-up booster is the net premium paid. In a rally, option losses are potentially unlimited as the investor is net short a call. When overlaid onto a long position in the underlying asset, upside losses are capped (as for a covered call), but downside losses are not.

Collar: Locks in the amount that can be realized at maturity to a range defined by the put and call strike. If the collar is not costless, investors risk losing 100% of the premium paid. Since investors are selling a call option, they give up any price appreciation in the underlying asset above the strike price of the call option.

Call Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is below the strike price of the call option.

Put Purchase: Options are a decaying asset, and investors risk losing 100% of the premium paid if the underlying asset's price is above the strike price of the put option.

Straddle or Strangle: The seller of a straddle or strangle is exposed to increases in the underlying asset's price above the call strike and declines in the underlying asset's price below the put strike. Since exposure on the upside is theoretically unlimited, investors who also own the underlying asset would have limited losses should the underlying asset rally. Covered writers are exposed to declines in the underlying asset position as well as any additional exposure should the underlying asset decline below the strike price of the put option. Having sold a covered call option, the investor gives up all appreciation in the underlying asset above the strike price of the call option.

Put Spread: The buyer of a put spread risks losing 100% of the premium paid. The buyer of higher-ratio put spread has unlimited downside below the lower strike (down to zero), dependent on the number of lower-struck puts sold. The maximum gain is limited to the spread between the two put strikes, when the underlying is at the lower strike. Investors who own the underlying asset will have downside protection between the higher-strike put and the lower-strike put. However, should the underlying asset's price fall below the strike price of the lower-strike put, investors regain exposure to the underlying asset, and this exposure is multiplied by the number of puts sold.

Call Spread: The buyer risks losing 100% of the premium paid. The gain is limited to the spread between the two strike prices. The seller of a call spread risks losing an amount equal to the spread between the two call strikes less the net premium received. By selling a covered call spread, the investor remains exposed to the downside of the underlying asset and gives up the spread between the two call strikes should the underlying asset rally.

Butterfly Spread: A butterfly spread consists of two spreads established simultaneously – one a bull spread and the other a bear spread. The resulting position is neutral, that is, the investor will profit if the underlying is stable. Butterfly spreads are established at a net debit. The maximum profit will occur at the middle strike price; the maximum loss is the net debit.

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